

BUSINESS MANAGEMENT MODEL EXAMINATION WITH ANSWER

All business organizations need finance. Among the different source of finance, which one can be considered as the least source of finance for entrepreneurial ventures?

☒ a. Permanent Capital

☐ b. Borrowing

☐ c. Asset Finance

☐ d. Working Capital

In which of the social responsibility approach, managers choose not to be socially responsible?

☐ a. Defensive

☒ b. Obstructionist

☐ c. Accommodative

☐ d. Reactive

Which one of the stakeholders is highly concerned with financial statement analysis to protect their job securities?

☐ a. Government

☐ b. Managers

☒ c. Investors

☐ d. Employees

The process of evaluating market segments attractiveness and selecting feasible one is termed as

☐ a. Business market

☐ b. Market research

☐ c. Market segment

☒ d. Target market

From the data given below, compute the Arithmetic mean for the statistical distributions table. Class Mark 1-5 6-10

11-15 16-20 Frequency 4312

☒ a. 9.5 Mark

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b. 7.5 Mark

O c. 8 Mark

Which one of the following is not the advantage of personal computers?

Ca. Lags business operations effectiveness

Ob. Make our lives more productive

O c. Could cause us to lose some of our basic skills

Od. Takes away some of the boring tasks that we have to perform

Which one of the following source of recruitment is less costly than the others?

Oa. Employee Referral

O b. Advertisement

Oc. Job Posting

O d. Using Agencies

The shift towards a more integrated and interdependent world economy is

O a. Ethical theory

Ob Localization.

Oc Standardization

Od Globalization

is the unorganized raw facts and figures.

a. Data

Ob. Snapshot

Oc Reports

Od. Information

From the following alternatives, identify the component not involved in downward communication.

O a Indoctrinations

Ob. Manipulations

Oc Job instructions

Od. Job rational

An investor wants to invest in A, B, C and D businesses operations. The expected return on each investment, given low medium high market demands. Consider information for the investment conditions given in the following payoff table and

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identity which is investor's choice if "MAXMAX" decision making approach is used?

Oa. Alternative "A"

Ob. Alternative "B"

Oc Alternative "C"

Od. Alternative "D"

The ability of firms to readily accommodate demand change by changing product items and volume is known as

O a Timelines

Ob. Competitiveness

O c. Flexibility

Od. Cost leadership

A business enterprise wants to run printing press service and the operation costs Birr 50,000 to set up the presses and machinery needed to print and bind a paperback book. After setup, it costs Birr 5 per book printed and bound. Assume that the business starts its operation and printed 20,000 books. Therefore, what will be the operation's average cost?

O a 4000

Ob 5

Oc 7.5

O d. 25

Which of the following is not valuable in upward communication?

O a. Subordinates' achievement

O b. Performance achieved by higher officials

O c. Unsolved job related problems of workers

Od. Job related feeling and attitudes of workers

Identify the criterion which is not considered in judging manageability of individuals at managerial positions.

O & Approaches employed

Ob. Ethnic background

Oc. Possessed skills

Od. Decision making

Which one of the following is used in finding initial feasible solutions of

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transportation problems?

☐ a. Vogel's approximation

☐ b. Simplex approach

☐ c. Stepping stone path

☐ d. Modified distribution

In which one of the following organizational goals is, using external sources for recruitment is considered as effective for organization?

☐ a. To reduce orientation and training cost

☒ b. To gain new knowledge and experience

☐ c. To develop loyal employees

☐ d. To increase existing employees moral

Which one of the following is not the negative result of inadequate control of inventories?

☐ a. The low sales volume

☐ b. Customers dissatisfaction

☒ c. Low inventory cost

☐ d. Production bottlenecks

Which type of data can be gathered by interview technique?

☐ a. Published data

☐ b. Secondary data

☐ c. Tertiary data

☒ d. Primary data

Which one is not among the reasons why many people engaged in conducting research regardless of its difficulties?

☐ a. To be respected and promoted

☒ b. Government direction

☐ c. To get degree with its consequential benefit

☐ d. Employment condition

ABC Company decides to have seating chairs. To acquire these seating chairs the company has two options. One option is making at home and the other option is to purchase from the market. To make at home, company must require machines

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that costs 40000 birr. The seating chairs are current purchased at bir 300 birr. If the company decide to make at home labor, materials and overhead, cost estimated at 200 birr per chair. Annual demand is estimated as 1000 units. Then, what is the breakeven volume where it becomes profitable to produce them rather than to buy from a supplier?

O a. 600 chairs

O b. 500 chairs

O c. 400 chairs

O d. 300 chairs

According to UNIDO'S project cycle, in which stage/phase is detail consultation and engineering work required?

Oa. Feasibility study

O b. Operating phases

Oc. Investment phases

Od. Appraisal report phases

The marketing philosophy that consumers will favor products those are available and highly affordable in market is

O a. Societal concept

Ob. Marketing concept O

c. Product concept

Od. Production concept

Among random sampling techniques, which method is commonly used by data collectors in production processes, business surveys, and for selecting items from files?

O a. Cluster sampling

Ob. Stratified sampling

O c. Simple random sampling

Od. Systematic sampling

Which one of the following describes the component of business mission which deals with where does the firm compete?

O a. Philosophy

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O b. Technology

Oc. Customers

Od Product

The marketing mix which marketing managers need to investigate awareness from customer's side is

O a. Promotion

Ob Place

Oc Price

Od Product

Which one is not among the primary criteria of supplier evaluations?

O a. Quality

O b. Cost/price

Oc. Delivery

Od. Quantity

Which one of the following is not favorable condition to increase productivity of particular organization?

O a less motivated workforce

Ob. Improved labor force

Oc. Better Management

Od Technological advancement

Which one of the following is not among assumptions of LPM?

Oa. Linearity

Ob. Certainty

Oc. Continuity **Od. Uncertainty**

is on the job training method, by which human resources manager focuses on listing each job's basic tasks, along with key points, in order to provide systematic training for employees.

O a. Job rotation

Ob. Special projects

O c. Job instruction

Od. Internship

Unwelcomed behavior of a sexual nature perpetrated upon one individual by another is

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O a. Discrimination

O b. Grievance

Oc Harassment

Od. Bribery

Which one of the following best describes abstract form representation of linear programming problems?

O a. Statistical model

O b. Linear programming model

Oc Linear function model

Od. Mathematical model

From the data below, what is the mean class for the statistical distributions table?

Class Mark 1-5 6-10 11-15 16-20 Frequency 4312

O a 3rd class

O b. 1st class

Oc 4th class

Od. 2nd class

From the following statements, which one is not favorable condition for centralized purchasing approach?

O a. Is more appropriate if technical aspect is not required

Ob. Is more appropriate if knowledge is not important

Oc is more appropriate for large organization in terms of size

Od. Is more appropriate for small organization in terms of size

Among product development cycle, the stage by which product will offer for the market is

Oa. Market testing

O b. Concept development

O c. Idea development

Od. Commercialization

Which of the following ratio indicate the degree to which assets of the firms employed efficiently?

O a. Liquidity ratio

Ob. Debt management ratio

O c. Profitability ratio

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Od. Activity ratio

Which one of the following is a set of moral principles that distinguish what is right from what is wrong?

O a Legal

Ob. Ethics

Oc. Principle

Od. Rules

The result of Environmental Analysis indicates that projects are promising and for further work to be justified. The next step will be.

O a Pre-feasibility study

Ob. Feasibility study

Oc. Preliminary screening

Od. Identification

Which of the following clearly states the reasons why individuals separated from the organization or employer?

O a. Privileges

Ob. Retirement

Oc. Layoffs

O d. Discharge

Among the different type of leverage ratios, which one measure the earning power of a firm with respect to given level of sales, total assets, and owner's equity?

O a. Return on investment Ob. Fixed charges coverage O c. Profitability ratio Od. Return on Asset

Which one of the following ethical theory focuses on and view duties as it have a good or bad morality regardless of the outcomes they produce?

a. Teleological theory

Ob. Deontological theory

Oc. Egoism theory

Od. Relativism theory

Which staffing function is difficult task for human resource manager in the condition of high unemployment rate?

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O a. Orientation

O b. Selection

O c. Procurement

O d. Training

Which one of the following comes first in the business purchasing process?

O a. Key sourcing

O b. Need recognition

O c. Providing requisition

O d. Supplier selection

Finance function involves

O a. Procurement of finance only

O b. Procurement and effective utilization of fiancé

c. Expenditure of funds only

O d. Safe custody of funds only

Based on World Bank classification of project life cycle, after promising project ideas has been selected and pre- feasibility study completed; the next step will be critically reviewing different aspects of the project. From this, which one is among the different aspect of the project priority area of World Bank?

O a. Commercial aspect

O b. Technical aspect

O c. Environmental aspect **O d. Financial aspect**

Which one of the following is not the reason for small business success?

O a. Managerial incompetency

O b. Adequate Credit Assistance O c. Conducive Environment

O d. Markets and Marketing Support

When product and service design are in every functional area of an organization.

Mainly which functional area involved more?

O a. Marketing and finance

O b. Marketing and purchasing

O c. Finance and purchasing

O d. Operation and finance

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Comprehensive business mission is significant for all of the following except

- O a. Enduring statement of purpose
- Ob. Effective establishing of objectives
- Oc Declares the firm's reason for being

Od. Encourage potential competitors

Among the basic goals of financial management, which one can be considered as modern approach?

- O a. Maximization of profits
- O b. Current revenue Maximization
- Oc. Ensuring financial discipline in the organization

Od. Maximization of shareholders' wealth

During project screening phase, project ideas are accepted if

- O a. the project idea must be compatible with promoter interest
- O b. project goal is inconsistent with national goals and priorities

Oc. the current size of the market must offer the prospect of inadequate sales volume

O d. capital requirements of the project is beyond manageable limits

A report prepared in a prescribed form and presented according to an established procedure is termed

as

- O a. Informal report
- O b. Statutory report
- Oc General report

Od. Formal report

Among the following data, which one cannot be considered as statistics?

- O a. The percentage of undergraduates attending AAU
- Ob. The number of death due to HIV AIDS

Oc. Student's attitude toward cost sharing

Od. The number of car accidents occurred

Competitive advantage is anything that can advance a certain business organization has over their competitors. Which one is, rarely considered as competitive advantage?

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O a New product & technology

O b. Suitable location

Oc. Managerial skill

O d. Knowledge

Why do you think that the message sent is not always the same as the meaning attached to the message?

Oa. Wrong sender

O b. Wrong medium.

Oc Faulty message

Od. Inaccurate decoding

In which of the following cost leadership strategy will be effective?

O a. Buyers have insignificant bargaining power

Ob. Switching cost for buyer high

Oc Few number of buyers in the market

Od. Market place is dominated by price competition

The source of power which authorizes managers from occupying certain managerial position in the organizational hierarchy and direct resources toward the achievements of common goal is

O a. Legitimate

O b. Reward

Oc Expert

Od. Coercive

Which one of the following is categorized in dilemmas of business ethics?

O a. Transparency

O b. Accountability

Oc. Profanity

Od. Optimization

For effective inventory control, decision has made that which inventory items are little things and which need more careful control. From ABC inventory class, which inventory item, needs tight control?

O a. B items

O b. A items

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O c. Citems

O d. A&B items

Which of the following condition is not expected for the existence of research problem?

O a. Existence of difficulty facing organizations

Ob. Environments pertaining difficulty

Oc. Existence of difficulty facing individuals

Od. Realized objectives of organizations

The component of marketing concept which describes desires of specific satisfiers of needs is

O

a Product

O b. Need

Oc Demand

Od. Want

A formal document that presents the research objectives, design of achieving these objectives, and the expected outcomes/deliverables of the study is called

O a. Research report

Ob Research hypothesis

Oc Research proposal

Od Research design

The most recommended strategy for business firms internally weak and facing full threat firm external environment will be

O a concentric strategy

Ob. vertical integration strategy

Oc. retrenchment strategy

Od growth strategy

Among the beneficiaries of entrepreneurial wealth, which one contribute for physical and mental labor?

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O a. Employees

O b. Government

O c. Supplies

O d. Society

Which of the following is not among problem identification process in research work?

O a. Review of existing literature

Ob. Management decision making

O c. Theoretical foundation and model building

O d. Discussion with subject experts

Which one of the following variable is considered as leaving variable in solving LPP when simplex approach employed?

O a. The variable with a value in quantity column

Ob. The with minimum positive RR value

O c. The variable with maximum positive value in C-Z row

O d. The variable with s value in C-Z row

Identify the correctly sequenced market segmentation from general to specific.

a. Mass marketing_ Micro market_ Niche marketing- Segment marketing

b. Mass marketing--- Segment marketing-- Niche marketing--Micro marketing

O c. Mass marketing--- Niche marketing-- Segment marketing-- Micro marketing

O d. Mass marketing--- Segment marketing-- Niche marketing--Micro marketing

All are attributes of standardization in business world except

O a. Increase quality

O b. Allow customization

O c. Enable mass production

O d. Increase inventories

The strategic management approach which gives great weight for internal capacity of the organization in strategy formulation and implementation is

O a. Resource based

Ob. Industrial based

O c. Competition based

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Od. Organizational based

Which one of the following can be considered as the dominant reason for small business failures in Ethiopia?

O a. High level of taxation

O b. Lack of adequate finance and credit

Oc Low commitment

Od. Low demand

The director of the PHD program at Addis Ababa University has 16 applications for admission. The composite scores of the applicants out of 40 mark are: 15 32 26 27 29 27 25 25 29 30 31 32 34 35 32 32 16 29 25 29 32 10 27 32 30 31 32 33 32 33 34 33 Then, how many classes would you recommend for above statistical distributions?

O a. 6 classes

Ob. 3 classes

Oc 5 classes

O d. 4 classes

Which adjusting capacity strategies are appropriate when demand exceeds expectations for the final products?

O a. Subcontracting strategy

Ob. Chase demand strategy

Oc. Subcontracting strategy

Od. Level Production strategy

Among the following aspect of a project, all belongs to technology, except

O a. Access to technical know

Ob Building a new plant

Oc Emergence of new technologies

Od. Purchasing power

The flow of information through Management Information System is

O a. Organizational dependent

Ob. Need dependent

Oc. Management dependent

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Od. Information dependent

Which one of the following is not among the types of purchasing?

O a. Hand to mouth purchasing

O b. Forward purchasing

O c. Backward purchasing

Od. Speculative purchasing

The informal type of communication transmitting the message from one individual to all members to minimize information distortion is

O a. Single stand chain

Ob. Cluster

O c. Probability chain

Od. Gossip chain

Consider the following transportation problem and if LCM is used to find solution of the problem, what will be the total transportation cost?

O a. 15,750

O b. 14,000

O c. 12,900

O d. 13,900

Managers are expected to play varieties of roles for the wellbeing of their organization and communities and activity based resource allocation is among these roles. If so, in which management role you categorize it?

a. Informational role

b. Decisional role

O c. Monitor role

Od. Interpersonal role

Among statistical data collection process, the stage in which data classification, arrangement and editing takes place is termed as,

O a. Data Analysis

O b. Data presentation

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Oc. Data organization

Od. Data collection

What are the major competing inventory costs in material management?

Oa. Order and holding costs

O b. production and marketing costs

Oc. Salary and overhead costs

Od. Promotion and distribution costs

One of the following is not among quality assurance contrasted with control in that purchase assurance includes all the activities associated with the attainment of quality.

O a. Motivation of all concerned

O b. Design and specification

Oc. Inspection and testing

Od. Assessment of buyers

The dean of the Master's program at St. Mary's University has 16 applications for admission. The composite scores of the applicants out of 40 marks are: 15 32 26 27 29 27 25 25 29 30 31 32 34 35 32 32 16 29 25 29 32 10 27 32 30 31 32 33 32 33 34 33 Therefore, what is the median class from the above statistical distribution?

a.2nd class

Ob. 3rd class

O c. 4th class

Od. 1st class

Determination of the number, type and future requirement of personnel refers to

O a. Human resource planning

O b. Action Plans

Oc Manpower Inventory

Od. Procurement function

All of the following are decision making techniques in risky situations except

O a. Expected value of Breakeven analysis

O b. Expected value of perfect information Oc. Expected opportunity loss

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Od. Expected monetary value

The skills required by managers to undertake planning process to come up with goals to be realized with appropriate courses of action is,

O a. Communication skill

O b. Technical skill

Oc Forecasting skill

Od. Interpersonal skill

Which one of the following best describes a summary of educational and academic backgrounds as well as experience, awards, honors and affiliations of an individual?

a. History

Ob. Application letter

Oc. Curriculum vitae

Od. Resume

is the linear programming assumption which states that the value assigned to each parameter of a linear programming model is assumed to be known constant.

Oa. Centrality

O b. Certainty

Oc. Proportionality

Od. Non negativity

Which group of buyers mainly purchases the product for resale?

O a. Governmental Institutions

O b. service manufacturing firms

Oc Governmental agencies

Od Business organization

Which one of the following is not among objectives of Management Information System?

O a. Support decision making

Ob. Facilitating decision making process

Oc. Recruit people for system

Od. Provide requisite information at any management level

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The comprehensive managerial system that integrates key managerial activities in a systematic manner and consciously directed toward the effective and efficient achievement of organizational and individual objectives

O a. Centralized system

O b. Focus group discussion

O c. Management by objectives

Od. Establishment of objectives

Which one of the following criterion is not effective in market segmentation?

O a. Substantiality

O b. Measurability

O c. Partiality

Od. Action-ability

Which location is suitable for service giving organization?

Oa. Resource

O b. Near terminal

O c. low labor cost

O d. Near to market

All of the following are forms of scientific methods except

O a Functional

Ob Induction

O c Structural

Od. Comparative

Among the different promotional mix elements, which one can be appropriate if the goal of the organization is to influence buyers to buy the product?

O a public relation

O b. personal selling

O c. Advisement

Od. sales promotion

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Which one of the following is not considered to evaluate supplier's management capability?

Oa Labor-management relation practices

Ob. Purchase requisitions

Oc Commitment to total quality

Od. Strategic sourcing

The business strategy affecting the whole units of business operations and developed by top or general managers of the organization is,

O a corporate level strategy

O b. operational level strategy

Oc global level strategy

O d. business level strategy

Which of the following equate the quantity consumers are willing and able to buy with the quantity suppliers are willing and able to supply?

O a. Break even analysis

Ob. Market research

Oc. Cost-out put relations

Od Market equilibrium

Mr. Abebe is considering a capital investment for which the initial outlay is Br100,000: 00 Net annual cash inflows (before taxes) to be predicted to be Br 20,000 for 10 years. Straight-line depreciation used with an estimated salvage value of zero. By ignoring income taxes how many years it takes to cover initial investment cost? Computed the payback period.

O a. 10 Years

O b. 5 Years

O c. 9 Years

O d. 8 Years

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Which one of the following is not the nature of programmed decision?

O a. Solutions are predictable

Ob. Standard procedures

Oc. Routine activities

Od. Unstructured procedures

Which one of the following is not the option that operation manager use to make productivity ratio large?

O a. Make the output larger for the same input

O b. Increase input and output with the proportion

Oc. Increase the output while decreasing the input

d. Make the inputs smaller for the same output

Consider a manufacturer that has a fixed cost of Birr 100,000 and a variable cost of Birr 30 per unit made and sold

at selling price of Birr 50 per unit. Then, what is the manufacturer profit if 4000 items produced and sold?

O a 200,000

Ob. -20,000

O c 220,000

Od. -50,000